CHAPTER 47 Goods and Services Tax Council

ESTABLISHMENT

The 101st Amendment Act of 2016 paved the way for the introduction of a new tax regime (i.e. goods and services tax – GST) in the country. The smooth and efficient administration of this tax requires co-operation and co-ordination between the centre and the states. In order to facilitate this consultation process, the amendment provided for the establishment of a Goods and Services Tax Council or the GST Council.

The amendment inserted a new Article 279-A in the Constitution. This Article empowered the President to constitute a GST Council by an order. Accordingly, the President issued the order in 2016 and constituted the Council[1].

The Secretariat of the Council is located at New Delhi. The Union Revenue Secretary[2] acts as the ex-officio Secretary to the Council.

VISION AND MISSION

While discharging its functions, the Council is to be guided by the need for a harmonised structure of GST and the development of a harmonised national market for goods and services. Further, the Council has to determine the procedure in the performance of its functions.

The vision and mission of the Council are as follows:

Vision: To establish the highest standards of co-operative federation in the functioning of the Council, which is the first constitutional federal body vested with powers to take all major decisions relating to GST.

Mission: **Evolving by a process of wider consultation, a GST structure, which is information technology-driven and user friendly.**

COMPOSITION

The Council is a joint forum of the centre and the states and consists of the following members:

1. **The Union Finance Minister as the Chairperson**
2. **The Union Minister of State in-charge of Revenue or Finance**
3. **The Minister in-charge of Finance or Taxation or any other Minister nominated by each state government**

The members of the Council from the states have to choose one amongst themselves to be the Vice-Chairperson of the Council. They can also decide his term.